

Grubb's \$377M FiDi Loan Shows Construction Debt Is Back, But Only for the Right Sponsor

A 64-story ground-up rental tower got financed. The capital stack reveals who can build in 2026.

Inside the \$377 million financing

\$377 million

Debt / financing

\$300 million

Debt / financing

\$77 million

Key figure

It is the lender count

The most important number in Grubb Properties' \$377 million construction loan for 8 Carlisle Street is not the loan amount. It is the lender count. Five capital providers assembled this stack: Maxim Capital Group leading with a \$300 million senior loan, and Skylight Real Estate Advisors, GreenBarn Investment Group, Axonic Capital, and Meadow Partners splitting a \$77 million mezzanine tranche. That is not a sign of abundant construction debt.

The deal matters because it shows that construction debt has not returned broadly

It is a sign that no single lender wanted to hold the full risk of a 64-story, 462-unit ground-up rental tower in a market where construction financing remains the most constrained part of the capital stack. The deal matters because it shows that construction debt has not returned broadly.

The Charlotte-based firm entered the market in 2021, buying the 8 Carlisle site for \$89 million

It has returned selectively, for sponsors with a track record, a credible rental platform, and a basis that allows the math to work even if rents soften or rates stay elevated. Grubb Properties is not a New York City developer by origin. The Charlotte-based firm entered the market in 2021, buying the 8 Carlisle site for \$89 million. That basis is the foundation of this financing.

At roughly \$193,000

At roughly \$193,000 per unit in land cost, Grubb has room to absorb construction cost overruns, slower lease-up, or higher permanent debt costs without breaking the underwriting. A developer who paid \$150 million for the same site in 2021 would likely not be breaking ground today. The capital stack itself tells a story about risk distribution.

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Maxim Capital Group, a private lender run by Brian Steiner and Adam Glick, provided the \$300 million senior loan. Private credit is now the dominant source of construction debt in New York, filling the gap left by regional banks that retreated after the 2023 banking turmoil. The \$77 million mezzanine piece, split among four investors, is where the yield-seeking capital sits.

What this deal reveals about the market is straightforward

Mezzanine lenders are taking subordinate risk in exchange for higher returns, betting that Grubb can execute the lease-up and refinance into permanent debt before the construction loan matures. What this deal reveals about the market is straightforward. Construction financing is available, but only for projects that clear three hurdles: a sponsor with operating scale, a basis that leaves room for error, and a location with proven rental demand.

The timing is also notable

Grubb owns or operates 5,500 apartments nationally and has a New York track record through its Link Apartments QPN in Long Island City. The Financial District has absorbed new rental supply consistently, and the tower will be one of the tallest residential buildings in Lower Manhattan, a differentiator in a submarket where most new inventory comes from office conversions. The timing is also notable.

The loan closed when the project was already de-risked from a construction timeline perspective

Construction on 8 Carlisle passed the halfway point this spring, with topping out expected later this summer. The loan closed when the project was already de-risked from a construction timeline perspective. Lenders are far more willing to finance a building that is rising than one that is still a hole in the ground. Who benefits?

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Grubb Properties gets the capital to complete a signature tower and establish a permanent New York City presence. The mezzanine lenders get yield in a market where high-quality construction mezzanine debt is scarce. The Financial District gets a new rental product that competes directly with converted office space, potentially putting pressure on conversion projects that carry higher basis and longer timelines. Who is exposed?

It signals that the window is open for a narrow set of borrowers who meet a high

Any developer trying to finance a ground-up project without a comparable basis, sponsor depth, or construction progress. This deal does not signal that the construction lending window is open. It signals that the window is open for a narrow set of borrowers who meet a high underwriting bar. The next phase of the construction lending market will not be defined by how much capital is available.

The question is how many developers can replicate it

It will be defined by which sponsors can access it, and at what cost of equity and mezzanine debt. Grubb Properties just showed the template. The question is how many developers can replicate it.

Why it matters

The deal matters because it shows that construction debt has not returned broadly.

LIGHT TOWER GROUP
